

by cognitive biases. This should make intuitive sense. Investors who have a high need for security (i.e., a low risk tolerance) do so because emotion is driving this behavior; they get emotional about losing money and get uneasy during times of stress or change. Similarly, highly aggressive investors are also emotionally charged people who adamantly want to accumulate assets. They typically suffer from a high level of overconfidence and mistakenly believe they can control the outcomes of their investments. In between these two extremes are the investors who suffer mainly from cognitive biases and can benefit from education and information about their biases so they can make better investment decisions.

A brief diagnostic is provided for each of the biases associated with each BIT. Advice, which is geared toward the advisor, is also provided. An overarching point that readers should keep in mind as they proceed is that investors who are emotional about their investing need to be advised differently than those who make mainly cognitive errors. When advising emotionally charged investors, advisors need to focus on how the investment program being created impacts important emotional issues like financial security, retirement, or the goals for future generations rather than focusing on portfolio details like standard deviation and Sharpe ratios. A quantitative approach is more effective with clients who are less emotional and tend to make cognitive errors. Emotional clients tend to be more difficult clients to work with, and advisors who can recognize the type of client they are dealing with prior to making investment recommendations will be much better prepared to deal with irrational behavior when it arises. At the end of the day, the goal is to build better long-term relationships with clients; BITs are designed to help in this effort. In the next section, we begin with a passive, conservative investor, the Preserver.

PRESERVER

Basic type: Passive

Risk tolerance level: Low

Primary bias: Emotional

Preservers are, as the name implies, passive investors who place a great deal of emphasis on financial security and preserving wealth rather than taking risk to grow wealth. Because they have gained wealth by not risking their own capital, Preservers may not be highly financially sophisticated. A common situation is a Preserver who has gained wealth through inheritance or conservatively by working in a large company. Some Preservers are “worriers” in that they obsess over short-term performance (losses) and are